7.8.3 Calls in advance

The excess amount paid over the called up value of a share is known as calls in advance. It is the excess money paid on application or allotment or calls. Such excess amount can be returned or adjusted towards future payment. If the company decides to adjust such amount towards future payment, the excess amount may also be transferred to a separate account called calls in advance account.

Calls in advance does not form part of the company's share capital and no dividend is payable on such amount. In the balance sheet, it should be shown under current liabilities.

As per Section 50 of the Indian Companies Act, 2013, the company can accept calls in advance only if it is authorised by its Articles of Association. As per Table F of the Indian Companies Act, 2013, interest may be paid on calls in advance if Articles of Association so provide not exceeding 12% per annum.

Tutorial note

The excess application money on allotted shares after adjustment for allotment money should be transferred to calls in advance account.

Following are the journal entries to be passed:

Date	Particulars	L.F.	Debit ₹	Credit ₹
	(a) For money received in advance on allotment and call			
	Bank A/c Dr.		xxx	
	To Call in advance A/c			xxx
	(b) For adjusting towards call(s)			
	Calls in advance A/c Dr.		xxx	
	To Share call A/c			xxx

Illustration 6

Aruna Mills Ltd. with a registered capital of ₹ 5,00,000 in equity shares of ₹ 10 each, issued 20,000 of such shares payable as follows; ₹ 4 per share on application, ₹ 4 per share on allotment and ₹ 2 per share on first and final call. The issue was duly subscribed.

All the money payable was duly received. But on allotment, one shareholder paid the entire balance on his holding of 300 shares.

Give journal entries to record the above.

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